IV

The District Court's erroneous dismissal of Whole Foods did not cure the jurisdictional defect that existed when this case was improperly removed to federal court. The Court of Appeals therefore correctly vacated the judgment in Hain's favor. The judgment of the Court of Appeals is affirmed, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

JUSTICE THOMAS, concurring.

I join the Court's opinion in full. I write separately to note my skepticism of the doctrine of "improper joinder," which the District Court invoked to dismiss Whole Foods in this case. The doctrine appears to allow federal courts to enlarge their jurisdiction by assessing the merits of claims over which they lack jurisdiction.

Page Proof Pending Publication

"Federal courts are courts of limited jurisdiction." *Kokkonen* v. *Guardian Life Ins. Co. of America*, 511 U. S. 375, 377 (1994). As "an essential ingredient of separation and equilibration of powers," the Constitution gives Congress broad power over the scope of federal courts' jurisdiction. *Steel Co.* v. *Citizens for Better Environment*, 523 U. S. 83, 101 (1998). "When we assume jurisdiction too hastily, we risk aggrandizing ourselves at the expense of the political branches." *Monsalvo Velazquez* v. *Bondi*, 604 U. S. 712, 737 (2025) (THOMAS, J., dissenting). Accordingly, if a federal court determines that it lacks jurisdiction in a case, "the only function remaining to the court is that of announcing the fact and dismissing the cause." *Ex parte McCardle*, 7 Wall. 506, 514 (1869).

Court expresses no view on whether using Rule 21 to dismiss a nondiverse party added after a proper removal is appropriate. The Court also expresses no view as to Rule 21's role in cases originally filed by plaintiffs in federal court. See, *e. g.*, *Publicker Industries, Inc.* v. *Roman Ceramics Corp.*, 603 F. 2d 1065, 1067, 1069 (CA3 1979).

Federal courts therefore "must determine that they have jurisdiction before proceeding to the merits." *Lance* v. *Coffman*, 549 U. S. 437, 439 (2007) (*per curiam*). "The requirement that jurisdiction be established as a threshold matter spring[s] from the nature and limits of the judicial power of the United States and is inflexible and without exception." *Steel Co.*, 523 U. S., at 94–95 (internal quotation marks omitted). "For a court to pronounce upon" the merits "when it has no jurisdiction to do so is, by very definition, for a court to act ultra vires." *Id.*, at 101–102.

In this case, federal jurisdiction was based on diversity of citizenship. The removing defendant, Hain Celestial Group, invoked federal jurisdiction under 28 U. S. C. § 1332(a), which gives district courts jurisdiction over "civil actions where the matter in controversy exceeds the sum or value of $75,000 . . . and is between . . . citizens of different States." This Court has always interpreted § 1332(a)'s language "to require 'complete diversity,'" meaning that a federal court can exercise jurisdiction only if no plaintiff shares state citizenship with any defendant. *Carden* v. *Arkoma Associates*, 494 U. S. 185, 187 (1990) (citing *Strawbridge* v. *Curtiss*, 3 Cranch 267 (1806)).

Page Proof Pending Publication

Although the parties in this case were not completely diverse, the District Court exercised jurisdiction based on the doctrine of "improper joinder." Under that doctrine, federal courts exercise jurisdiction over cases that originally involved nondiverse defendants by first deeming the claims against those nondiverse defendants sufficiently weak on the merits and then dismissing them. See, *e. g.*, *International Energy Ventures Mgmt., L.L.C.* v. *United Energy Group, Ltd.*, 818 F. 3d 193, 205–209 (CA5 2016). Here, the Palmquists, Texas citizens, sued both an out-of-state defendant, Hain Celestial Group, and a Texas defendant, Whole Foods. The District Court therefore lacked jurisdiction over the case when it was removed to federal court. The District Court nonetheless proceeded to dismiss Whole Foods based

on its merits assessment that there was not a "reasonable basis to predict that [the Palmquists] could recover from Whole Foods" under Texas products-liability law. App. to Pet. for Cert. 25a–26a. After dismissing Whole Foods, it adjudicated the claims against Hain Celestial on the merits.

The Fifth Circuit vacated that merits judgment for lack of jurisdiction, but not because it thought that conducting an improper-joinder inquiry was inappropriate. 103 F. 4th 294, 302–307 (2024). It simply thought that the Palmquists possibly stated meritorious claims against Whole Foods under Texas law. See *id.*, at 305–307. It reaffirmed that the improper-joinder doctrine allows federal courts to engage in a "Rule 12(b)(6)-type analysis" of claims against nondiverse defendants, albeit with legal ambiguities resolved in the plaintiffs' favor. *Id.*, at 306. Federal Rule of Civil Procedure 12(b)(6) dismissals, of course, are merits determinations. See *Federated Department Stores, Inc.* v. *Moitie*, 452 U. S. 394, 399, n. 3 (1981).

Page Proof Pending Publication

Other federal courts adopt a similar approach to dismiss claims against nondiverse parties. See, *e. g.*, *Johnson* v. *Midwest Div.-RBH, LLC*, 88 F. 4th 731, 735–736 (CA8 2023); *Jerome-Duncan, Inc.* v. *Auto-By-Tel, L. L. C.*, 176 F. 3d 904, 907–909 (CA6 1999); *Legg* v. *Wyeth*, 428 F. 3d 1317, 1324, 1320–1325 (CA11 2005). Courts justify this approach based on a group of this Court's early-20th-century precedents that recognized a doctrine called fraudulent joinder. See, *e. g.*, *Alabama Great Southern R. Co.* v. *Thompson*, 200 U. S. 206, 217 (1906).*

*Many Circuits still use the "fraudulent joinder" term today, even when they engage in the same merits analysis that the Fifth Circuit more accurately calls improper joinder. See, *e. g.*, *Johnson*, 88 F. 4th, at 735–736 (holding that "joinder . . . was fraudulent" because state-law claim was unlikely to succeed on the merits); *Jerome-Duncan, Inc.*, 176 F. 3d, at 907–909 (affirming "fraudulent joinder" dismissal because of weakness of claim under state law); *Cline* v. *Dart Transit Co.*, 804 Fed. Appx. 307, 312 (CA6 2020) (holding that "fraudulent joinder occurred" because plaintiff lacked "a colorable cause of action").

But this Court's precedents do not support the lower courts' more recent approach. As I read them, this Court's "fraudulent joinder" precedents concerned only whether the plaintiff avoided federal diversity jurisdiction by bad faith or actual fraud—such as lying about a party's conduct or citizenship. See *Alabama Great Southern R. Co.*, 200 U. S., at 218 (asking whether the plaintiff "attempt[ed] to commit a fraud upon the jurisdiction of the Federal courts"); *Illinois Central R. Co.* v. *Sheegog*, 215 U. S. 308, 316 (1909) (asking whether a claim was "fraudulent and false"); *Mecom* v. *Fitzsimmons Drilling Co.*, 284 U. S. 183, 190 (1931) (asking whether the plaintiff committed "actual fraud"). These precedents were limited to cases of "extreme abuse." *Murriel-Don Coal Co.* v. *Aspen Ins. UK Ltd.*, 790 F. Supp. 2d 590, 596 (ED Ky. 2011) (Thapar, J.). Unlike the lower courts' more recent decisions, they did not appear to turn on the strength of the claims on the merits.

Federal courts sitting in diversity likely cannot dismiss nondiverse parties based on their view of the merits of the claims against those parties. Doing so appears unfaithful to Congress's limits on our diversity jurisdiction and inconsistent with this Court's precedents. As Judge Thapar has put it, the improper-joinder doctrine "requires federal courts to exercise jurisdiction where none exists over questions of state law that the state courts are better suited to address themselves." *Id.*, at 597. In a future case where the issue is briefed and squarely presented, this Court should consider the propriety of the improper-joinder doctrine.

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